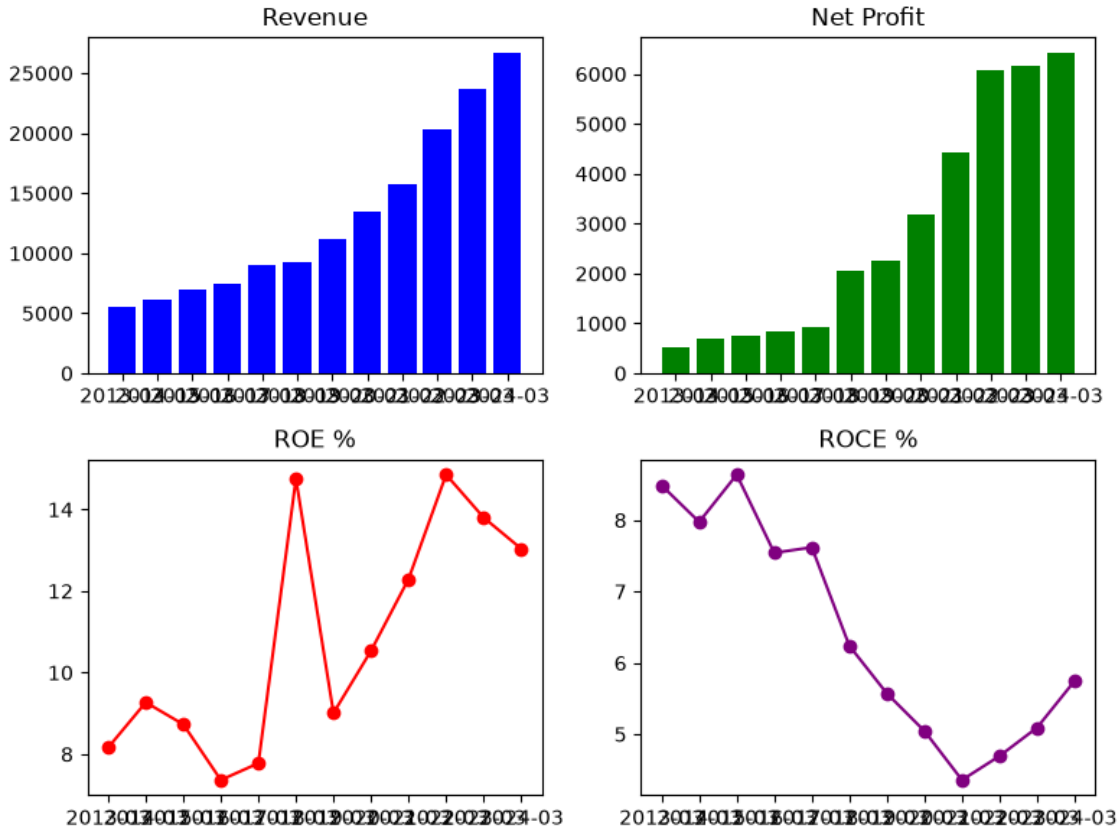
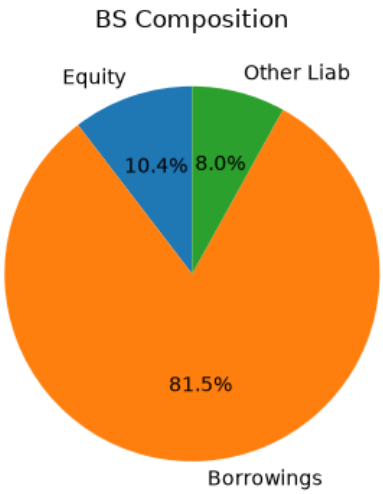
Indian Railway Finance Corporation Ltd (IRFC)

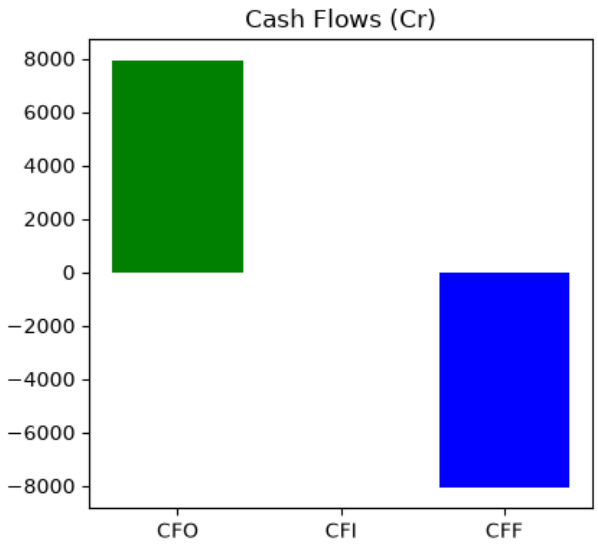
ROE	13.04%	ROCE	5.75%
D/E	8.38	OPM	99.50%
FCF	7906 Cr	Net Profit Margin	24.06%

Performance Trends



Balance Sheet & Cash Flows





Pros & Cons

Pros: Revenue growing at above 15% CAGR over 5 years reflects strong business momentum, Operating profit margin above 25% indicates strong pricing power and cost discipline, Net profit compounding at above 20% over 5 years creates significant shareholder value, Consistent dividend yield above 2% backed by positive free cash flow, Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding, Revenue growing slower than profits shows improving operating leverage and scale benefits, Growing asset base funded by internal accruals reflects self-sustaining growth
Cons: Debt-to-equity ratio of 8.38 is elevated for a non-financial company and warrants monitoring, Interest coverage ratio below 1.5x indicates the company is at risk of not meeting its debt obligations, Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital, Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility

Capital Allocation Badge: nan